In general, it's more appropriate to create generic, all-purpose portfolio models for younger people and less appropriate to propose generic asset allocation models for older investors. Life has a way of introducing lots of sticky details as we grow older—and those details should have a bearing on our investment portfolio. Very simply, it is possible to aggregate the asset allocation needs of 30-year-olds without doing too much violence to their individual circumstances. But investors over the age of 55 have other issues. The plot has thickened, and their individual circumstances need to be factored into their portfolio design.

We speak of age as an important portfolio determinant, and we looked at your age in bonds as a proxy for asset allocation. Is the model useless? No, but adjustments should be made, and the adjustment can be in determining the "allocation age" of an investor. This concept was articulated in an article titled "What's Your Asset Allocation Age?" This article was coauthored by Brigham Young University professor Craig L. Israelsen and me in *Financial Planning Magazine,* November 2009 issue.

A person's allocation age may be higher or lower than a person's chronological age, depending on the individual investor. In a sense, your age in bonds is a reasonable place to begin forming an asset allocation, and then adjustments should be made up or down based on factors unique to each individual.

Here is a simple example using an allocation age adjustment to chronological age. Assume a 65-year-old couple has accumulated $2 million in liquid investment assets. Both people are 65. The couple has two grown children ages 33 and 37 who do not need financial support. The couple spends about $100,000 per year, of which $60,000 comes from pensions and Social Security. Only $40,000 comes out of savings.

Let's split the $2 million into two accounts, if only on paper. The first account is $1 million. This account is to provide the couple with $40,000 for living needs for their rest of their life, which is reasonable based on a 4 percent distribution rate. The second $1 million is in savings and will likely not be used at all by the couple. It will all go to the children.

In view of this scenario, what is an appropriate allocation for each $1 million account and what is appropriate for the total $2 million? The $1 million to be used primarily for income for the couple can be invested based in the couple's age in bonds, which would make that account 65 percent bonds and 35 percent stocks. The other $1 million could be